The risk sheet

Position sizing is the only part of trading you fully control. This is the arithmetic that decides whether a run of losses is a bad week or the end of the account.

Why stake size beats accuracy

A trader who is right 60% of the time and stakes a quarter of the account per trade will go broke. A trader who is right 55% of the time and stakes 2% will not. Losing streaks are longer than intuition suggests: at a 55% strike rate, a run of six losses turns up roughly once every two hundred trades. Your stake has to be small enough that the run is survivable and boring.

The 2% rule, and what it costs

Risk no more than 2% of the account on one contract. On a $1,000 account that is $20. It feels slow, and that is the point: at 2%, ten consecutive losses leaves you with about $817 and a working account. At 10% the same streak leaves $349, and you now need to triple what is left simply to return to where you started. Recovery is not linear, which is why survival is the first objective.

Daily loss limits you will actually keep

Set the limit as a number of trades, not a sum of money. Three losses in a session and you stop, whatever the balance says. A number of trades is countable in the moment; a percentage is something you argue with. Write it down before the session, because the version of you who has just lost twice is not the one who should be setting it.

The journal that does the work

Record four things per trade: the market, the reason, the duration, and what you felt. Not the result; the platform already has that. After thirty trades you will be able to sort by reason and see which of your setups actually pays, and which ones only feel like trading.

> **This is the introduction, not the course.**

The full Practitioner course carries the lessons, the worked examples and the templates referenced here. It is on the Academy page at obisflow.com/academy.